UNEMPLOYMENT

INTRODUCTION

Unemployment is a major economic and social problem faced by most countries, both developed and developing. It refers to a situation where individuals who are capable of working and are actively seeking work are unable to find suitable employment.

In simple terms, unemployment represents the underutilization of human resources in an economy. It not only reduces national income and productivity but also leads to social issues such as poverty, inequality, and frustration among the youth.

In developing economies like India, unemployment often takes the form of disguised unemployment, seasonal unemployment, and educated unemployment. Understanding the causes and consequences of unemployment is essential for formulating effective policies for inclusive and sustainable economic growth.

OBJECTIVES

1. To understand the nature and extent of unemployment

2. To analyze the causes of unemployment

3. To examine the effects of unemployment

4. To evaluate government policies and programs

5. To suggest remedial measures

6. To ensure inclusive development

Unemployment occurs when workers who want to work are unable to find jobs, which means lower economic output, while still requiring subsistence.

Unemployment may be defined as “a situation in which the person is capable of working both physically and mentally at the existing wage rate, but does not get a job to work”.

In other words unemployment means only involuntary unemployment wherein a person who is willing to work at the existing wage rate does not get a job. High rates of unemployment are a signal of economic distress, but extremely low rates of unemployment may signal an overheated economy.

The most frequent measure of unemployment is the unemployment rate, which is the number of unemployed people divided by the number of people in the labor force. The unemployment rate in India rose to 7.2 percent in February 2019, the highest since September 2016, and also up from 5.9 percent in February 2018, according to the latest data compiled by the Centre for Monitoring Indian Economy (CMIE). Labour Participation Rate defines that section of working population in the economy which is currently employed or seeking employment.

National Sample Survey Organization (NSSO) defines employment and unemployment on the following activity statuses of an individual:

- Working (engaged in an economic activity) i.e. 'Employed'.
- Seeking or available for work i.e. 'Unemployed'.
- Neither seeking nor available for work.

The first two constitutes labour force and unemployment rate is the percent of the labour force that is without work. Unemployment rate = (Unemployed Workers / Total labour force) × 100

TYPES OF UNEMPLOYMENT

1. Open Unemployment: Open unemployment is a situation where in a large section of the labour force does not get a job that may yield them regular income. This type of unemployment can be seen and counted in terms of the number of unemployed persons. The labour force expands at a faster rate than the growth rate of economy. Therefore all people do not get jobs.

2. Disguised Unemployment: It is a situation in which more people are doing work than actually required. Even if some are withdrawn, production does not suffer. In other words it refers to a situation of employment with surplus manpower in which some workers have zero marginal productivity.

3. Seasonal Unemployment: It is unemployment that occurs during certain seasons of the year. In some industries and occupations like agriculture, holiday resorts, ice factories etc., production activities take place only in some seasons. So they offer employment for only a certain period of time in a year. People engaged in such type of activities may remain unemployed during the off- season.

4. Cyclical Unemployment: It is caused by trade cycles at regular intervals. Generally capitalist economies are subject to trade cycles. The down swing in business activities results in

unemployment. Cyclical unemployment is normally a shot-run phenomenon.

5. Educated Unemployment: Among the educated people, apart from open unemployment, many are underemployed because their qualification does not match the job. Faulty education system, mass output, preference for white collar jobs, lack of employable skills and dwindling formal salaried jobs are mainly responsible for unemployment among educated youths in India. Educated unemployment may be either open or underemployment.

6. Technological Unemployment: It is the result of certain changes in the techniques of production which may not warrant much labour. Modern technology being capital intensive requires less labourers and contributes to this kind of unemployment.

7. Structural Unemployment: This type of unemployment arises due to drastic changes in the economic structure of a country. These changes may affect either the supply of a factor or demand for a factor of production. Structural employment is a natural outcome of economic development and technological advancement and innovation that are taking place rapidly all over the world in every sphere.

8. Underemployment: It is a situation in which people employed contribute less than their capacity to production. In this type of unemployment people are not gainfully employed. They may be employed either on part time basis, or undertake a job for which lesser qualification is required. For example a Post Graduate may work as a clerk for which only S.S.L.C. is enough.

9. Casual Unemployment: When a person is employed on a day-to-day basis, casual unemployment may occur due to short term contracts, shortage of raw materials, fall in demand, change of ownership etc.

10. Chronic Unemployment: If unemployment continues to be a long term feature of a country, it is called chronic unemployment. Rapid growth of population and inadequate level of economic development on account of vicious circle of poverty are the main causes for chronic unemployment.

11. Frictional Unemployment: Frictional unemployment is caused due to improper adjustment between supply of labour and demand for labour. This type of unemployment is due to immobility of labour, lack of correct and timely information, seasonal nature of work. etc.

12. Voluntary Unemployment: In every society, there are some people who are unwilling to work at the prevailing wage rate, and there are some who are lucky enough to get a continuous flow of unearned income from their unemployed status. Jobs are available for them but they do not want to accept them. Voluntary unemployment may be a national waste of human energy, but it is not a serious economic problem with any social repercussions. Voluntary unemployment is consistent with the state of full employment.

MEASUREMENT OF UNEMPLOYMENT: There are three measures or estimates of unemployment.

These are developed by National Sample Survey Organisation (NSSO). They are:

1. **Usual Status Unemployment**: Also known as open unemployment or chronic unemployment. This measure estimates the number of persons who remained unemployed for a major part of the year. This measure gives the lowest estimates of unemployment. This concept used to determine the usual activity status of a person as employed or unemployed or outside the labour force. The persons covered may be classified into those working or available for work in their principal activity sector and subsidiary sector.

2. **Weekly Status Unemployment**: The estimate measures unemployment with respect to one week. A person is said to be unemployed if he is not able to work even for an hour during the survey period. In other words according to this estimate a person is said to be employed for the week even if he/she is employed only for a day during that week.

3. **Current Daily Status Unemployment**: It considers the activity status of a person for each day of the preceding seven days. The reference period here is a day. If a person did not find work on a day or some days during the survey week, he/she is regarded as unemployed. Normally if a person works for four hours or more during a day, he or she is considered as employed for the whole day. The daily status unemployment is considered to be a comprehensive measure of unemployment.

MAIN CAUSES OF UNEMPLOYMENT IN INDIA

(i) **Caste System**: In India caste system is prevalent. The work is prohibited for specific castes in some areas. In many cases, the work is not given to the deserving candidates but given to the person belonging to a particular community. So this gives rise to unemployment.

(ii) **Slow Economic Growth**: Indian economy is underdeveloped and role of economic growth is very slow. This slow growth fails to provide enough unemployment opportunities to the increasing population.

(iii**) Increase in Population**: Constant increase in population has been a big problem in India. It is one of the main causes of unemployment. The rate of unemployment is 11.1% in 10th Plan.

(iv) **Agriculture is a Seasonal Occupation**: Agriculture is underdeveloped in India. It provides seasonal employment. Large part of population is dependent on agriculture. But agriculture being seasonal provides work for a few months. So this gives rise to unemployment.

(v) Joint Family System: In big families having big business, many such persons will be available who do not do any work and depend on the joint income of the family. Many of them seem to be working but they do not add anything to production. So they encourage disguised unemployment.

(vi) Fall of Cottage and Small industries: The industrial development had adverse effect on cottage and small industries.

The production of cottage industries began to fall and many artisans became unemployed.

(vii) Slow Growth of Industrialisation: The rate of industrial growth is slow. Though emphasis is laid on industrialisation yet the avenues of employment created by industrialisation are very few.

(viii) Less Savings and Investment: There is inadequate capital in India. Above all, this capital has been judiciously invested. Investment depends on savings. Savings are inadequate. Due to shortage of savings and investment, opportunities of employment have not been created.

(ix) Causes of Under Employment: Inadequate availability of means of production is the main cause of under employment. People do not get employment for the whole year due to shortage of electricity, coal and raw materials.

(x) Defective Planning: Defective planning is the one of the cause of unemployment. There is wide gap between supply and demand for labour. No Plan had formulated any long term scheme for removal of unemployment.

(xi) Expansion of Universities: The number of universities has increased manifold. There are 385 universities. As a result of this educated unemployment or white collar unemployment has increased. (xii) Inadequate Irrigation Facilities: Even after the completion of 9th five plans, 39% of total cultivable area could get irrigation facilities. Due to lack of irrigation, large area of land can grow only one crop in a year. Farmers remain unemployed for most time of the year.

(xiii) Immobility of labour: Mobility of labour in India is low. Due to attachment to the family, people do not go to far off areas for jobs. Factors like language, religion, and climate are also responsible for low mobility. Immobility of labour adds to unemployment.

Unemployment Eradication Programmes in India

- Integrated Rural Development Programme (IRDP) was launched in 1980 to create full employment opportunities in rural areas.
- Training of Rural Youth for Self-Employment (TRYSEM): This scheme was started in 1979 with objective to help unemployed rural youth between the age of 18 and 35 years to acquire skills for self-employment. Priority was given to SC/ST Youth and Women.
- RSETI/RUDSETI: With the aim of mitigating the unemployment problem among the youth, a new initiative was tried jointly by Sri Dharmasthala Manjunatheshwara Educational Trust, Syndicate Bank and Canara Bank in 1982 which was the setting up of the "RURAL DEVELOPMENT AND SELF EMPLOYMENT TRAINING INSTITUTE" with its acronym RUDSETI near Dharmasthala in Karnataka. Rural Self Employment Training Institutes/ RSETIs are now managed by Banks with active co-operation from the Government of India and State Government.
- By merging the two erstwhile wage employment

programme – National Rural Employment programme (NREP) and Rural Landless Employment Guarantee Programme (RLEGP) the Jawahar Rozgar Yojana (JRY) was started with effect from April, 1, 1989 on 80:20 cost sharing basis between the centre and the States.

- Mahatma Gandhi National Rural Employment Guarantee Act (MNREGA): It is an employment

  scheme that was launched in 2005 to provide social security by guaranteeing a minimum of 100 days paid work per year to all the families whose adult members opt for unskilled labour-intensive work. This act provides Right to Work to people.
- Pradhan Mantri Kaushal Vikas Yojana (PMKVY), launched in 2015 has an objective of enabling a large number of Indian youth to take up industry-relevant skill training that will help them in securing a better livelihood.
- Start Up India Scheme, launched in 2016 aims at developing an ecosystem that promotes and nurtures entrepreneurship across the country.
- Stand Up India Scheme, launched in 2016 aims to facilitate bank loans between Rs 10 lakh and Rs. 1 crore to at least one SC or ST borrower and at least one women borrower per bank branch for setting up a greenfield enterprise.

There are number of labour intensive manufacturing sectors in India such as food processing, leather and footwear, wood manufacturers and furniture, textiles and apparel and garments. Special packages, individually designed for each industry are needed to create jobs. Public investment in sectors like health, education, police and judiciary can create many government jobs. Decentralization of Industrial activities is necessary so that people of every region get employment. Development of the rural areas will help mitigate the migration of the rural people to the urban areas thus decreasing the pressure on the urban area jobs. Entrepreneurs generate employments to many in a country; therefore government needs to encourage entrepreneurship among the youth. Concrete measures aimed at removing the social barriers for women's entry and their continuous participation in the job market is needed. Government needs to keep a strict watch on the education system and should try to implement new ways to generate skilled labour force. Effective implementation of present programs like Make in India, Skill India, Start up and Stand-Up India. There is a need for National Employment Policy (NEP) that would encompass a set of multidimensional interventions covering a whole range of social and economic issues affecting many policy spheres and not just the areas of labour and employment. The policy would be a critical tool to contribute significantly to achieve the goals of the 2030 Agenda for Sustainable Development. The underlying principles for the National Employment Policy may include enhancing human capital

through skill development; creating sufficient number of decent quality jobs for all citizens in the formal and informal sectors to absorb those who are available and willing to work; strengthening social cohesion and equity in the labour market; coherence and convergence in various initiatives taken by the government; supporting the private sector to become the major investor in productive enterprises; supporting self-employed persons by strengthening their capabilities to improve their earnings; ensuring employees' basic rights and developing an education training and skill development system aligned with the changing requirements of the labour market.

Self-assessment questions

1. Write a note on Disguised Unemployment.

2. Explain the various types of Unemployment

3. Explain various measure of unemployment

4. Write a note on various Unemployment Eradication Programmes in India

5. What are the causes of unemployment?